

performance. These human flaws are consistent, predictable, and widespread.

The financial markets are not the cause of investment plan failure; rather, it is the investors themselves who cause their own demise. I have seen this over two decades of experience working with individual investors. A sensible investment plan never fails an investor; the investor fails the plan. The abandonment of a good plan usually occurs either during a deep bear market or a strong bull market.

A successful asset allocation strategy requires that individuals understand the dynamics behind diversification and reallocation. It also demands that investors be on the alert for flaws in their own judgment that can cause the plan to collapse.

Underestimating market risk is a major culprit in behavioral errors. If an investor takes too much risk in a portfolio without knowing or understanding the risk, that investor will become emotional when steep losses occur; and that investor will make mistakes. It is unavoidable. Overextended investors become anxious about their asset allocation in poor markets, and they will abandon their long-term investment plan eventually and opt for the safety of low returning short-term investments. It is critical that each investor know how much risk there is in an asset allocation *before* implementing that plan to ensure that they will not blow out of an allocation prematurely. Emotional decision making is not part of a viable investment plan.

BEHAVIORAL FINANCE

Behavioral finance is an academic field that attempts to understand and explain how psychology influences an investor's decisionmaking process. A fledgling field of study in the early 1960s, behavioral finance has grown to be an important area of research at several influential institutions.

Professors recognized as experts in the field include Daniel Kahneman (Princeton), Meir Statman (Santa Clara), Richard Thaler (University of Chicago), Robert J. Shiller (Yale), and Amos Tversky. Tversky is frequently cited as the forefather of the field. He died in 1996.

The following list touches on a few observations made by behavioral finance researchers. Unfortunately, the list only scratches the surface. Much